

Chapter 2: Thinking Like an Economist

The Economist as a Scientist

- A **natural experiment** is a real-world event that, by chance, **exposes one group to change** while leaving a similar **comparison group** unaffected, creating something close to a controlled experiment.

The Circular-Flow Diagram

- The **Circular-Flow Diagram** is a visual model of the economy that shows how dollars flow through markets among households and firms. It **leaves out government and international trade.**

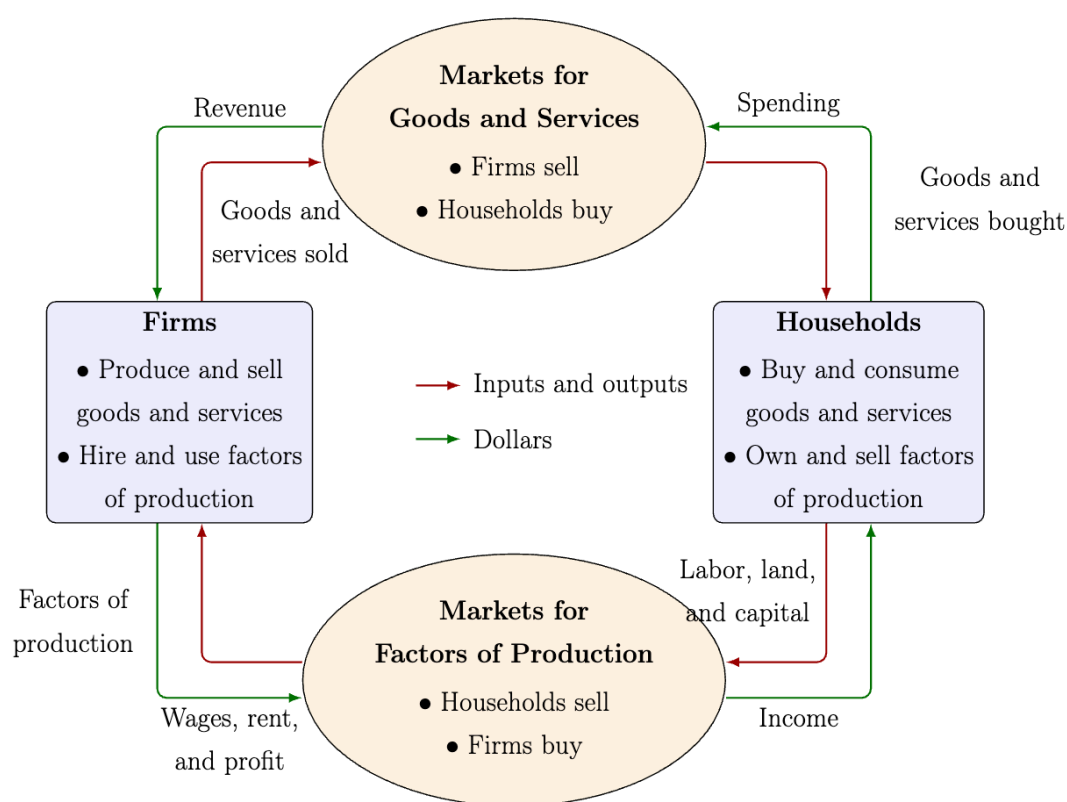


Figure 1: The circular-flow diagram

The Production Possibilities Frontier

- Production Possibilities Frontier (PPF):** A graph that shows the various combinations of output that an economy can produce, given its available factors of production and technology.
- An outcome is **efficient** if the economy is getting all it can from its scarce resources: **no more of one good can be produced** without producing less of the other.
- An outcome is **infeasible** if the current resources the economy has **are not enough** to produce the desired goods.
- An outcome is **inefficient** if the economy can **still produce more goods** with its current resources.

Microeconomics and Macroeconomics

- **Microeconomics:** The study of how **households and firms** make decisions and how they interact in **specific markets**
- **Macroeconomics:** The study of **economy-wide** phenomena, such as inflation, unemployment, and economic growth

Positive vs Normative Statements

- **Positive statements** are *descriptive*, and attempt to describe the world **as it is**. In principle, they can be confirmed or refuted with evidence
- **Normative statements** are *perscriptive*, and attempt to describe how the world **ought to be**, and cannot be settled by evidence alone.